

go before it has saturated the market.”

Those are some basic themes for the story, and you can fill in as much detail as you want. The more you know the better. I often devote several hours to developing a script, though that’s not always necessary. Let me give you two examples, one a situation that I checked out properly, and the other where there was something I forgot to ask. The first was La Quinta, which has been a fifteenbagger, and the second was Bildner’s, a fifteenbagger in reverse.

CHECKING OUT LA QUINTA

At one point I’d decided the motel industry was due for a cyclical turnaround. I’d already invested in United Inns, the largest franchiser of Holiday Inns, and I was keeping my ears open for other opportunities. During a telephone interview with a vice president at United Inns, I asked which company was Holiday Inn’s most successful competitor.

Asking about the competition is one of my favorite techniques for finding promising new stocks. Muckamucks speak negatively about the competition ninety-five percent of the time, and it doesn’t mean much. But when an executive of one company admits he’s impressed by another company, you can bet that company is doing something right. Nothing could be more bullish than begrudging admiration from a rival.

“La Quinta Motor Inns,” the vice president of United Inns enthused. “They’re doing a great job. They’re killing us in Houston and in Dallas.” He sounded very impressed, and so was I.

That’s the first I’d ever heard of La Quinta, but as soon as I got off the phone with this exciting new tip, I got back on the phone with Walter Biegler at La Quinta headquarters in San Antonio to find out what the story was. Mr. Biegler told me that in two days he’d be coming to Boston for a business conference at Harvard, at which time he’d be glad to tell me the story in person.

Between the United Inns man’s dropping the hint and five minutes later the La Quinta man’s mentioning that he just happened to be traveling to Boston, the whole thing sounded like a set-up job to sucker me into buying millions of shares. But as soon as I heard Biegler’s presentation, I knew it wasn’t a set-up job, and the best way to have gotten suckered would have been not to have bought this wonderful stock.

The concept was simple. La Quinta offered rooms of Holiday Inn quality, but at a lower price. The room was the same size as a Holiday Inn room, the bed was just as firm (there are bed consultants to the motel industry who figure these things out), the bathrooms were just as nice, the pool was just as nice, yet the rates were 30 percent less. How was that possible? I wanted to know. Biegler